

EXECUTIVE SUMMARY AND REGULATORY COMPLIANCE MEMORANDUM

1. Jurisdictional Scope and Enforcement Priorities

This memorandum establishes the formal supervisory expectations applicable to designated institutions under Article 4. All regulated entities must maintain audit trails.

Failure to comply with mandatory reporting schedules will trigger administrative penalties under Section 12. Continued non-compliance warrants revocation of operating authority.

2. Capital Adequacy and Liquidity Reserve Ratios

Core capital reserves must exceed the prescribed risk-weighted threshold at all reporting dates. Tier 1 assets shall be maintained in liquid sovereign instruments.